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IN THE SUPREME COURT OF THE UNITED STATES

DISTRICT OF COLUMBIA, *ET AL.*,
Petitioners,
v.
TRI COUNTY INDUSTRIES, INC.,
Respondent.

Petition for a Writ of Certiorari to the United States Court of Appeals for the District of Columbia Circuit

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PETITION FOR A WRIT OF CERTIORARI

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QUESTION PRESENTED

Gasperini v. Center for Humanities, Inc., 518 U.S. 415 (1996), holds that the Seventh Amendment does not preclude district courts from exercising substantial discretion in granting new trials but does constrain appellate review of such orders. The question presented is whether, as some Circuits have recognized, *Gasperini* invalidates the contrary approach of other Circuits, including the D.C. Circuit here, which hold that the Seventh Amendment strictly circumscribes a district court's discretion to grant a new trial and thereby expands the scope of appellate review.

PARTIES

The parties are Tri County Industries, Inc.; District of Columbia; Mayor Anthony Williams (as successor to Sharon Pratt Kelly); the District of Columbia Department of Consumer and Regulatory Affairs; the Director of the District of Columbia Department of Consumer and Regulatory Affairs, Lloyd J. Jordan (as successor to Hampton Cross); and Ted Gordon, Senior Deputy Director for Health Assurance, the District of Columbia Department of Health (as successor to Ferial Bishop, Administrator of the Environmental Regulation Administration of the District of Columbia Department of Consumer and Regulatory Affairs). Tri County Industries has represented that it is a privately owned corporation organized under the laws of Maryland; primarily engages in the business of removing underground fuel storage tanks and contaminated soil; and does not have any parent companies, subsidiaries or affiliates that issue shares or debt securities to the public.

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DISTRICT OF COLUMBIA, *ET AL.*,
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TRI COUNTY INDUSTRIES, INC.,
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Petition for a Writ of Certiorari to the United States Court of Appeals for the District of Columbia Circuit

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The District of Columbia, *et al.*, petition this Court for a writ of certiorari to review a decision of the United States Court of Appeals for the District of Columbia Circuit.

OPINIONS BELOW

The January 18, 2000, decision of the United States Court of Appeals for the District of Columbia Circuit (App. 1-10) is reported at 200 F.3d 836; 2000 U.S. App. LEXIS 624; and 50 ERC (BNA) 1249. The July 23, 1998, decision of the United States District Court for the District of Columbia (App. 12-14) is not reported.

JURISDICTION

The D.C. Circuit issued its decision on January 18, 2000. App. 1. On February 17, petitioners filed a timely petition for rehearing and a suggestion for rehearing *en banc*. App. 16 & 17. The petition and suggestion were denied on March 8, 2000. App. 16 & 17.

This Court has jurisdiction pursuant to 28 U.S.C. § 1254(1).

LEGAL PROVISIONS INVOLVED

This case involves the Seventh Amendment to the United States Constitution (U.S. CONST. Amend. VII), which provides:

> In Suits at common law, where the value in controversy shall exceed twenty dollars, the right of trial by jury shall be preserved, and no fact tried by a jury, shall be otherwise re-examined in any Court of the United States, than according to the rules of the common law.

This case also involves Fed. R. Civ. P. 59(a), which provides in pertinent part:

> A new trial may be granted as to all or any of the parties and on all or part of the issues (1) in an action in which there has been a trial by jury, for any of the reasons for which new trials have heretofore been granted in actions at law in the courts of the United States . . . .

STATEMENT OF THE CASE

I. INTRODUCTION.

This appeal involves the award of damages for a procedural due process violation -- the suspension, without a prior hearing, of a permit to construct a soil remediation facility in the District of Columbia. *See Tri County Industries, Inc. v. District of Columbia*, 104 F.3d 455, 460-62 (D.C. Cir. 1997). On remand from that appeal, the case was tried to a jury which awarded $5,000,000 in damages. Following the award, the district court, the Honorable James Robertson, ordered a

new trial because the damages award was excessive and he had disabled the jury from performing its job by excluding and striking evidence from its consideration. A second jury, which considered a fuller evidentiary record in light of *Carey v. Piphus*, 435 U.S. 247, 266-67 (1978), and the rule that a party must mitigate its damages arising from an unlawful injury, awarded nominal damages of $100.

On appeal, citing Seventh Amendment concerns, the D.C. Circuit transformed an abuse of discretion standard of appellate review into a "more searching inquiry" standard. App. 5 & 10. Under that revised standard, the court set aside the district court's order granting the District of Columbia a new trial. We submit that in doing so, the D.C. Circuit contravened this Court's teaching in *Gasperini v. Center for Humanities, Inc.*, 518 U.S. 415 (1996). *Gasperini* holds that district court judges retain substantial discretion under the Seventh Amendment to order new trials and that appellate courts must exercise restraint in applying the abuse of discretion standard of appellate review of new trial orders. The decision here turns *Gasperini* on its head.

II. THE FACTS.[1]

Tri County's history in the District of Columbia has been a history of ignoring public health and safety. In the early 1990's, Tri County first entered the soil remediation market by opening a processing facility on New York Avenue, N.E. SA529-30 & SA534. The facility was closed both because Tri County did not have a certificate of occupancy and because it violated the District's zoning laws. SA533-34.

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[1]References to the record below are as follows: "A" (Appendix filed in the D.C. Circuit); "SA" (Supplemental Appendix filed in the D.C. Circuit); and "T" (Trial Transcript).

In 1993, Tri County secured a building permit to construct a soil remediation facility several blocks away. SA457 (Pl. Exh. 5). Some five months later, Tri County began to accept delivery of contaminated soil, although it had not yet secured a certificate of occupancy. On September 2, 1993, a veteran zoning inspector from the District's Department of Consumer and Regulatory Affairs ("DCRA") inspected the facility. SA570-71. The gate to the premises was open; it had no lock. There was no security gate for the facility; and a door was open. No one was there. The inspector went into one of the big rooms in the building where he saw lots of "rotten soil." SA572. The soil "had a terrible smell" and "it was so bad" that it "irritated" his eyes. SA572. He wrote a Notice of Infraction for storing contaminated soil without a certificate of occupancy. SA423 (Def. Exh. 1); SA570-74.

Tri County did not respond to this Notice even though the Notice advised that Tri County would "be subject to the maximum penalties permitted by law, *suspension of your license/permit*, . . . and/or sealing of your business," and that the fine would double if not paid within 15 days. SA423 (emphasis added). Tri County continued to accept tons and tons of contaminated soil. SA434-35; SA526-27.

On September 22, 15 days after service of the Infraction Notice, the DCRA dispatched a construction inspector to the facility. SA576-77. The inspector saw that Tri County was "storing . . . a whole lot of dirt." SA577. The Tri County representative could not produce a permit or a certificate of occupancy. SA577-78. The inspector issued a stop work order. A391-92; SA578.

The DCRA's Office of Adjudication scheduled a hearing on the Infraction Notice for October 13. SA425. Tri County defaulted. An Administrative Law Judge found it guilty,

based on the testimony of the inspector who had issued the Notice, and added to the original $500 fine a $1,000 penalty and $25 in costs. SA426-27 (Def. Exh. 2). The decision stated that failure to appeal "or to arrange for payment of all fines, penalties, and costs within fifteen (15) days of service of this decision ***SHALL OPERATE TO SUSPEND AUTOMATICALLY THE LICENSE OR PERMIT.***" SA427 (emphasis in decision). Tri County neither appealed nor arranged for payment.

In the meantime, on September 20, Tri County attended a community meeting about the facility. At this meeting, Hampton Cross, DCRA's Acting Director, suspended Tri County's building permit because he had been informed (mistakenly, as it turned out) that this facility was going to be very close to a proposed housing development. App. 3.

The DCRA's Environmental Regulation Administration ("ERA") followed up on Mr. Cross's temporary suspension. On October 15, it sent a letter to Tri County, referencing the community meeting and the (mis)information about the proposed housing development. A394-95 (Def. Exh. 11). Given that information, the ERA had determined that "further review is necessary" pursuant to the District's Environmental Policy Act of 1989. A394. The letter requested information about ten matters, including the precise distance of the facility from nearby residences and from the property which Mr. Cross mistakenly believed was to be developed. A394-95.

Tri County did not answer this letter. A292. Instead, its President, Glenn Selzer, called to inform the District that he had already provided the information in Tri County's application. A291-94. Shortly thereafter, in November, Tri County abandoned the project. A72.

On December 6, 1993, Mr. Cross, unaware of Tri County's decision, sent it a letter. A396 (Def. Exh. 12). Citing its failure to respond to the October 15 letter, he rescinded the DCRA's environmental approval of the project. A396-97. This letter also cited Tri County's misrepresentation of the distance of its proposed facility to nearby residences, less than 100 feet as opposed to more than 700 feet. A396.

III. THE LITIGATION.

A. Preliminary Matters.

On September 20, 1994, Tri County brought suit in U.S. District Court claiming, *inter alia*, that Mr. Cross's oral suspension of its permit on September 20, 1993, violated the Due Process Clause of the Fifth Amendment. The D.C. Circuit agreed and remanded the case "to consider the extent of Tri County's damages." *Tri County Industries, Inc. v. District of Columbia*, 104 F.3d at 462. In its decision, the court observed that "Tri County took no action to challenge either the September 20 suspension, which all parties now agree had no legal basis at all, or the [September 22] stop work order, which is not challenged here and which all agree was a legally sufficient bar to Tri County's continuing work on the facility." *Id.* at 457. It also directed that, "[i]n calculating any damages, . . . the possibility of relief from the District's Board of Appeals and Review, as well as the possible mooting effect of the stop work order, may be pertinent." *Id.* at 462.

B. The First Trial.

At a four-day trial in 1998, Tri County sought more than $11,000,000 in damages, mostly for lost future profits. In opposition, the District made two basic *Carey v. Piphus*

arguments: (1) all or some of Tri County's damages following Mr. Cross's procedurally deficient suspension of Tri County's permit on September 20 would have occurred nevertheless because of events independent of the suspension (*i.e.*, the stop work order issued two days later; the automatic suspension of Tri County's building permit following Tri County's default on the early September Notice of Infraction; and other regulatory health and safety hurdles); and (2) Tri County had failed to mitigate, or to avoid, avoidable damages arising from the District's failure to afford it an opportunity to be heard prior to Mr. Cross's suspension.

In support of the first argument, the District called an District environmental specialist, who testified, *inter alia*, that the distance of Tri County's plant from residences was much less than Tri County had represented in its application. See A188; T. 419-32 & 442-46. In addition, the District unsuccessfully proffered Dr. Alfred A. Siess to demonstrate that Tri County's proposed plant was unsafe. See SA492-506. In support of the second argument, the District, *inter alia*, introduced "the two letters from the District of Columbia government to Tri County, October 15 and December 6, 1993, asking for follow-up information and informing them that they would be suspended if they didn't give that information." A188. Mr. Cross testified that the October 15 letter was sent to Tri County "*to establish a process which would afford -- which would resolve the issues that had arisen*, to establish a process and to get the necessary information from Tri County." SA485 (emphasis added).

Importantly, before sending the case to the jury, the court struck "*all of the testimony . . . on the health and safety aspects of this project*" because it had determined "that *the permitting process fully considered those issues and resolved*

them." A189 (emphasis added).[2] The evidence stricken included much of the testimony of the District's environmental specialist and of Mr. Cross. See T. 389-99; SA488-90. See also T. 315-18 (certificate of occupancy conditions); App. 3 n.1 (certificate of occupancy requirements). In addition, the court struck the District's October 13 invitation to be heard, as well as the December 6 letter suspending Tri County's project for failing to respond to the October 13 letter.

On this truncated evidentiary record, the jury awarded $5,000,000.

C. The District's Motion For A New Trial.

In its post-trial motion seeking a new trial (Docket Entry ("DE") 115), the District argued that the damages award was grossly excessive and speculative. Given Tri County's total failure to mitigate and its speculative projections of future profits, the damages award was grossly excessive. The District urged: "Tri County made no effort to avert the damages they assert, not even the preparation of a response to the two page, October 15, 1993 letter . . .." DE 115 at 19-20; see also DE 115 at 6 & 11.

The District also argued that the court's evidentiary rulings precluded the jury from performing its job. The court had wrongly excluded the District's post-suspension invitation to Tri County to be heard and Tri County's failure to respond to that invitation. The court had also wrongly excluded health and safety evidence: "Although plaintiffs retained the burden of establishing their right to more than nominal damages,

[2]However, the permit required Tri County to comply with District laws and subjected it to numerous reviews, reporting requirements, and conditions. SA422; 429-30.

resolution of that right under *Carey v. Piphus* depended on the credibility of conflicting witnesses and the jury's evaluation of the evidence regarding the impact that the project would have [had] on the health, safety and welfare of the community . . . evidence . . . essential to defendants[']' case that the project would have been halted anyway." DE 115 at 24.

D. The District Court's New Trial Order.

The district court granted a new trial for several reasons. First, although Tri County could be excused from expending considerable sums of money to protect its investment of under $500,000 in the project, the court ruled "unreasonable *per se*" Tri County's position that it was entitled to some $11,000,000 in future profits "without investing a penny to seek reinstatement of the unlawfully suspended building permit." App. 13.

Second, the district court ruled that "[t]he jury's award of future profits . . . was based on expert testimony that should not have been received -- or, at least, should not have been received without allowing the District of Columbia to adduce proof that plaintiff's soil remediation facility would never have been permitted to operate." App. 13. The court criticized Tri County's "pro-forma statement of income and expense" (App. 13), which it had ruled pretrial was "insufficient to establish loss of profits with reasonable certainty." DE 67 at 4. Furthermore, Tri County had "no experience in the business of 'burning' soil for remediation" and Tri County's expert had failed to analyze the significance of "the recent failure of a similar remediation facility" in the area and of "the diminish-

ing market price per ton for cleaning petroleum contaminated soil." App. 13.[3]

Third, the court ruled that "the jury's award of some $4.5 million in assertedly lost profits was in any event grossly excessive and shocks the judicial conscience, particularly in view of the realistic prospect, which I did not permit defendants to prove at trial, that there would be continued community resistance" to the project and "a very real likelihood that the District of Columbia would have closed down the remediation facility sooner or later in any event, or that it never would have been permitted to commence operations at all." App. 13-14.

Accordingly, a new trial was necessary unless Tri County accepted "a remittitur of the jury's verdict to $1 million." App. 14. Tri County declined.

E. The Second Trial.

At the second trial, the court admitted the District's evidence (1) supporting its *Carey v. Piphus*/mitigation-of-damages arguments and (2) rebutting Tri County's claims that only Mr. Cross's suspension stood in the way of it securing a certificate of occupancy. This evidence included the District's written invitation to Tri County to be heard and its failure to respond. This evidence also included health and safety

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[3]Tri County's *pro forma* statement projected whopping profits. For example, in its first year of operation, it projected revenues of $3,367,500 and expenses of $1,335,908, resulting in a profit of $2,031,592, a profit even its expert admitted was "extraordinary." A143-47, A171 & A209. The court found this evidence speculative, in light of, *inter alia*, unexplained information in the expert's report "about how the competition is driving down the price per ton until it just covers operating costs. . . . And that that has driven one of the competitors out of business . . .." SA483.

information about the project and about regulatory hurdles Tri County would have faced irrespective of the procedurally flawed suspension.

With a more complete record before it, the jury returned a verdict of $100.

F. The D.C. Circuit's Decision.

Tri County appealed the order granting the new trial. Citing *McNeal v. Hi-Lo Powered Scaffolding, Inc.*, 836 F.2d 637 (D.C. Cir. 1988), it argued that, on appeal, under the abuse of discretion standard, "[t]he trial court's decision to grant a new trial will be given close scrutiny in order to protect the litigants' right to a jury trial." Brief for Plaintiff-Appellant at 30.

The District countered that, under an abuse of discretion standard, "'[a] trial court has wide discretion in setting aside a jury verdict where . . . the motion granted is for a new trial, not judgment n.o.v.; the court's decision concerns matters of fact, not law; and the new trial is ordered because' the first trial 'created a potential for injustice.'" Brief for Appellees at 24-25, quoting *Schneider v. Lockheed Aircraft Corp.*, 658 F.2d 835, 849 (D.C. Cir. 1981) (footnote omitted), *cert. denied*, 455 U.S. 904 (1982). The District also countered that "'it is the duty of the judge to set aside the verdict and grant a new trial, if he is of the opinion that the verdict is against the clear weight of the evidence, or is based upon evidence which is false or will result in a miscarriage of justice, even though there may be substantial evidence which would prevent the direction of a verdict.'" Brief for Appellees at 24, quoting *Eastern Air Lines, Inc. v. Union Trust Co.*, 239 F.2d 25, 29 (D.C. Cir.), *cert. denied*, 353 U.S. 942 (1956).

The D.C. Circuit rejected the District's position. Instead, the court applied (App. 5 & 10) its recently developed "more searching inquiry" standard. *See, e.g., Langevine v. District of Columbia*, 106 F.3d 1018, 1023 (D.C. Cir. 1997); *Hutchinson v. Stuckey*, 952 F.2d 1418, 1421 (D.C. Cir. 1992). This standard arises from the court's "'concern that a judge's nullification of the jury's verdict may encroach on the jury's important fact-finding mission.'" App. 5, quoting *Langevine*, 106 F.3d at 1023. Accordingly, "close scrutiny is required in order to protect the litigants' [Seventh Amendment] right to jury trial." *Hutchinson*, 952 F.2d at 1421.

Using its "more searching inquiry" standard, the D.C. Circuit ruled that the district court had abused its discretion in granting a new trial. Thus, despite acknowledging the legal requirement that an injured party take "all the reasonable steps" to mitigate its damages, Tri County, even when seeking $11,000,000, and recovering $4,500,000, in lost future profits, need not take *any steps* at all. App. 7. In its view, the district court's failure-to-mitigate ruling was an impermissible *per se* ruling. App. 7.

The court also "question[ed]" the ruling that the award was grossly excessive and shocking. App. 9. In its view, the award was in the reasonable range because it was less than half of the amount Tri County had claimed. App. 9.

Finally, the D.C. Circuit stated:

> . . . [T]he trial court tried to cover all bases in its order granting a new trial but the order reveals that the court's real concern was its exclusion of evidence regarding health and safety issues which may have led to community resistance and, perhaps, regulatory barriers to Tri County's project.

App. 9. In assessing the evidentiary rulings, the D.C. Circuit should have asked whether the district court acted permissibly in ultimately concluding that it should have admitted this evidence. Instead, in a misguided effort to preserve the jury's verdict, the D.C. Circuit asked whether the district court could permissibly have excluded the District's health and safety evidence. The D.C. Circuit ruled that "the district court did not abuse its discretion in excluding the evidence." App. 10. Again invoking its "'more searching inquiry'" standard, the court ruled: "In light of our findings that Tri County's evidence was properly before the jury and the District's evidence was properly excluded, we conclude that the district court, in granting a new trial based on a revised view of its original rulings, did abuse its discretion." App. 10.[4]

G. Rehearing Denied.

The District filed a petition for rehearing and a suggestion for rehearing *en banc*. It argued that the D.C. Circuit had extant two conflicting standards for reviewing district court orders granting new jury trials and that *Gasperini v. Center for Humanities, Inc.*, 518 U.S. 415 (1996), unequivocally had ruled that the District's proffered standard was correct. In addition, and related to that point, the District urged that the court had erred in reviewing the district court's trial decisions excluding and striking evidence, rather than its ultimate, post-trial decision that this evidence should have been admitted and

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[4]For reasons we do not understand, the D.C. Circuit mistakenly seemed to believe (see App. 3) that the first jury was permitted to consider the District's written invitation to Tri County to be heard and Tri County's refusal to respond. This oversight is important, given that this case is a procedural due process case in which the District contended that Tri County had failed to mitigate its damages from the procedurally flawed suspension.

thus that a new trial was required for that reason, as well as for the others set forth in its new trial order.

The D.C. Circuit denied rehearing.

REASONS FOR GRANTING THE WRIT

The D.C. Circuit has impermissibly overturned the considered judgment of the district court ordering a new trial and reinstated a $5,000,000 jury verdict against the District of Columbia. For the reasons that follow, this Court should either summarily vacate and remand for reconsideration in light of *Gasperini v. Center for Humanities, Inc.*, 518 U.S. 415 (1996), or order plenary consideration of the D.C. Circuit's decision.

The D.C. Circuit applied the wrong legal standard in reversing the decision to order a new trial. *Gasperini* holds that the Seventh Amendment affords district court judges broad discretion in overseeing jury trials and that appellate courts are correspondingly strictly constrained by an abuse of discretion standard in reviewing new trial decisions. By contrast, the D.C. Circuit maintains that the Seventh Amendment strictly limits the discretion of district court judges to order new trials and that, as a consequence, appellate courts must apply a "'more searching inquiry'" standard in reviewing orders granting new trials. App. 5, quoting *Langevine*, 106 F.3d at 1023; see also App. 10. The D.C. Circuit's standard is flatly inconsistent with *Gasperini*.

As an adjunct to its "more searching inquiry" standard, and to further protect its understanding of the Seventh Amendment, the D.C. Circuit has ruled that it will review on appeal, under an abuse of discretion standard, evidentiary rulings at trial even when the district court judge, in the context of the

entire case, abandoned those rulings in a post-trial order granting a new trial. Accordingly, the ultimate judgment of the district court judge may be ignored even if that judgment is not an abuse of discretion. This approach wrongfully permits an appellate court to substitute its judgment for that of the trial judge.

The D.C. Circuit's standard also conflicts with the decisions of other Circuits. For example, the Seventh Circuit, following *Gasperini*, has held that the usual abuse of discretion standard applies to appellate review of orders granting new trials and that an appellate court must give due regard to the unique position of the trial court in assessing whether a new trial is warranted. See *Medcom Holding Co. v. Baxter Travenol Laboratories, Inc.*, 106 F.3d 1388, 1397 n.3 (7th Cir. 1997). Although one would expect that other Circuits would interpret *Gasperini* as the Seventh Circuit has done, and thus resolve a pre-existing intolerable conflict over the standard of review that applies to appellate review of new trial orders, the D.C. Circuit's disregard of *Gasperini* renders this expectation uncertain. Accordingly, this Court should now make clear that *Gasperini* resolves the pre-existing conflict.

Review is thus necessary to conform the D.C. Circuit's standard for reviewing orders granting new trials to *Gasperini*; to resolve a conflict among the Circuits on the fundamental issue of the scope of a trial court's discretion to order new trials; and to ensure that district court judges in the Nation's Capital exercise the discretion the law gives them to grant new trials.

I. THE D.C. CIRCUIT'S STANDARD FOR REVIEWING ORDERS GRANTING NEW TRIALS CONFLICTS WITH THIS COURT'S DECISION IN *GASPERINI*.

A. *GASPERINI*.

The D.C. Circuit's "more searching inquiry" standard and its strict constraints on the discretion of district courts to grant new trials conflict with this Court's decision in *Gasperini*. *Gasperini* stands for two fundamental principles. First, it holds "that the re-examination clause of the [seventh] amendment does not inhibit the power of the trial judge to grant new trials or to order remittitur." *Central Office Tel., Inc. v. American Tel. and Tel. Co.*, 108 F.3d 981, 993 (9th Cir. 1997), *rev'd on other grounds*, 524 U.S. 214 (1998). Second, appellate courts, in reviewing grants of new trials, must exercise "'restraint'" and "'*give the benefit of every doubt to the judgment of the trial judge.*'" *Gasperini*, 518 U.S. at 438-39, quoting *Dagnello v. Long Island R. Co.*, 289 F.2d 797, 806 (2d Cir. 1961) (emphasis added). Or, as this Court put it twenty years ago, "[t]he authority to grant a new trial . . . is confided almost entirely to the exercise of discretion on the part of the trial court." *Allied Chemical Corp. v. Daiflon, Inc.*, 449 U.S. 33, 36 (1980).

Gasperini was a diversity case in which the Court ruled that federal courts could apply a state statute providing for close judicial scrutiny of jury damages awards without offending the Seventh Amendment.[5] In so ruling, the Court relied on history and longstanding precedent. It acknowledged that

[5]Under the state law in question, courts were "empowered to review the size of jury verdicts and to order new trials when the jury's award 'deviates materially from what would be reasonable compensation.'" *Gasperini*, 518 U.S. at 418.

"'[t]he power of the English common law trial courts to grant a new trial for a variety of reasons with a view to the attainment of justice was well established prior to the establishment of our Government.'" 518 U.S. at 433, quoting 6A Moore's Federal Practice ¶59.05[2], pp. 59-44 to 59-46 (2d ed. 1996).[6] Furthermore, quoting Justice Story, the Court reaffirmed that, "'[i]f it should clearly appear that the jury have committed a gross error . . . or have given damages excessive in relation to the person or the injury, it is as much the duty of the court to interfere, to prevent the wrong, as in any other case.'" *Id.* at 433, quoting *Blunt v. Little*, 3 F. Cas. 760, 761-62 (No. 1,578) (C.C. Mass. 1822). In short, "'the trial judge in the federal system . . . has . . . *discretion to grant a new trial if the verdict appears to [the judge] to be against the weight of the evidence*,'" and this "*discretion includes overturning verdicts for excessiveness* and ordering a new trial without qualification, or conditioned on the verdict winner's refusal to agree to a reduction (remittitur)." *Id.* at 433, quoting *Byrd v. Blue Ridge Rural Elec. Cooperative, Inc.*, 356 U.S. 525, 540 (1958) (brackets supplied by the Court) (emphasis added).

In *Gasperini*, the Court also addressed the respective roles of federal trial judges and appellate courts in administering the substantive law governing damages. Even in a diversity case, these are distinctly federal questions: "'The proper role of the

[6]Or, as the Eleventh Circuit has put it, a district court's authority to order a new trial "is located in the common-law principle, later codified in the Judiciary Act of 1789, that "'[t]rials by jury in civil causes could not subsist now without a power, somewhere, to grant a new trial . . .. It is absolutely necessary to justice, that there should, upon many occasions, be opportunities of reconsidering the cause by a new trial.'" *Johansen v. Combustion Eng'g, Inc.*, 170 F.3d 1320, 1328 (11th Cir.), quoting *Bright v. Eynon*, 1 Burr. 390, 393 (K.B. 1757) (Lord Mansfield), *cert. denied sub nom., Combustion Eng'g, Inc. v. McGill*, 120 S. Ct. 329 (1999).

trial and appellate courts in the federal system in reviewing the size of jury verdicts is . . . a matter of federal law.'" *Id.* at 437, quoting *Donovan v. Penn Shipping Co.*, 429 U.S. 648, 649 (1977) (*per curiam*).[7]

According to the Court, "primary responsibility" for application of damages law is "lodge[d] in the district court, not the court of appeals . . .." *Id.* at 438. The Court explained: "Trial judges have the 'unique opportunity to consider the evidence in the living courtroom context,' . . . while appellate judges see only the 'cold paper record.'" *Id.* at 438, quoting respectively *Taylor v. Washington Terminal Co.*, 409 F.2d 145, 148 (D.C. Cir.), *cert. denied*, 396 U.S. 835 (1969), and *Gasperini v. Center for Humanities, Inc.*, 66 F.3d 427, 431 (2d Cir. 1995). As a consequence, if an appellate court reverses, "'it must be because of an abuse of discretion . . . . The very nature of the problem counsels restraint . . ..'" *Id.* at 438, quoting *Dagnello*, 289 F.2d at 806. Such restraint requires a federal appellate court to "'*give the benefit of every doubt to the judgment of the trial judge.*'" *Id.* at 438-39, quoting *Dagnello*, 289 F.2d at 806 (emphasis added).

B. The D.C. Circuit's Conflicting Approach.

The D.C. Circuit's "more searching inquiry" standard for appellate review of district court decisions granting new trials plainly conflicts with *Gasperini*. The D.C. Circuit gave no deference to Judge Robertson's "'unique opportunity to consider the evidence in the living courtroom context'" and he was not "give[n] the benefit of every doubt" in his decision to grant a new trial. *Gasperini*, 518 U.S. at 438, quoting *Taylor*

[7]The state law at issue in *Gasperini* provided that both the state trial and intermediate appellate courts should apply the "materially deviates" standard. 518 U.S. at 437-38.

v. Washington Terminal Co., 409 F.2d at 148, and *Dagnello*, 289 F.2d at 806. Instead, based on its misunderstanding of the Seventh Amendment, the D.C. Circuit brushed aside the panoply of interrelated reasons the trial judge gave for granting a new trial.[8]

First, the D.C. Circuit ruled that the district court had somehow applied a *per se* rule on the issue whether Tri County had taken reasonable steps to mitigate the damages arising from Mr. Cross's suspension of its permit without a hearing. However, as the trial court was well aware, Tri County not only failed to seek administrative review of Mr. Cross's suspension, but even failed to respond to his post-suspension invitation to be heard. The trial court had struck this evidence from the jury's consideration.

Second, because the jury had awarded only about half what Tri County had requested, the D.C. Circuit "question[ed]" the district court's considered judgment that the damages award was excessive. The "rule of thumb" applied by the D.C. Circuit seriously intruded into the district court's analysis of the excessiveness of the award in this case based on the evidence it had heard.

Third, unlike the district court, the D.C. Circuit appeared not to appreciate the narrow scope of the constitutional violation here -- the oral suspension of Tri County's building permit without a hearing. *See Tri County Industries, Inc. v. District of Columbia*, 104 F.3d at 460-62. Indeed, two days later, a valid stop work order was entered against Tri County

[8]The District's rehearing petition pointed out that the *Gasperini*-consistent decisions it had cited in its brief as setting the standard of review had their origin in *Taylor*, a D.C. Circuit decision cited favorably in *Gasperini*.

for a regulatory violation. *Id.* at 457 & 462 (observing that "all [parties] agree" that "the stop work order . . . was a legally sufficient bar to Tri County's continuing work on the facility" and remanding for consideration of "the possible mooting effect of the stop work order"). In addition, several weeks later, a District adjudicatory body found Tri County guilty of a pre-suspension regulatory violation, which resulted in an independent suspension of its building permit as a matter of law.[9]

Furthermore, in what we believe is an unprecedented step, the D.C. Circuit, as part of its effort to preserve the jury's verdict at the first trial, elected to review not the district court's ultimate evidentiary rulings but its abandoned trial rulings. On the latter point, the D.C. Circuit ruled that "the district court did not abuse its discretion in excluding the evidence" of health and safety concerns that might have triggered additional regulatory responses or have otherwise allowed the District to rescind its approval of Tri County's building permit. App. 10. This ruling, however, misses the mark. The issue was not whether the district court's abandoned trial rulings excluding and striking evidence were within its discretion but whether, in the living courtroom context, it abused its discretion in its post-trial ruling granting a new trial because, in its view, the damages award was

[9]To be sure, the district court did not spell out in detail its reasoning. However, "[a] trial judge is not required to enter supporting findings of fact and conclusions of law when granting a new-trial motion." *Allied Chemical Corp. v. Daiflon, Inc.*, 449 U.S. at 36 n.3. Furthermore, it should not be assumed that the district court, in its new trial order, "intended to set forth each and every reason for its order." *Id.* at 36 n.3.

excessive and its evidentiary rulings had unfairly prejudiced the District.[10]

In short, the D.C. Circuit's "more searching inquiry" standard is improper when the trial judge grants a new trial "'on the ground that the verdict is against the weight of the evidence.'" App. 10, quoting *Langevine*, 106 F.3d at 1023. That standard becomes even more improper when it causes an appellate court to review evidentiary rulings abandoned by the trial judge instead of the evidentiary rulings he finally concluded were proper. In the case of such evidentiary rulings, the trial judge's role vis-a-vis the jury is exclusive, and when a trial judge grants a new trial based, in whole or in part, on a reassessment of his own evidentiary rulings, he has concluded that he has disabled the jury from performing its function.

Here, the D.C. Circuit wrongly substituted its judgment for the considered discretionary judgment of the district court ordering a new trial. The district court acted well within its discretion in ruling that a new trial was necessary because, *inter alia*, (1) his evidentiary rulings disabled the jury from properly performing its function; (2) an injured party who seeks more than $11,000,000 in damages, based upon a procedural due process violation, cannot be said to have taken reasonable steps to mitigate damages when it takes no available steps whatsoever; and (3) Tri County's profit projections

[10]On this point, the D.C. Circuit criticized the District on the grounds that it "never met the trial court's repeated injunction to show how their health and safety issue would have triggered additional regulatory procedures or otherwise allowed the District to rescind its earlier approval." App. 10. With all due respect, this is a matter that should have been left to the district court to resolve in light of the entire case.

were speculative, especially given the evidence of real market conditions.[11]

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[11]Finally, there can be no question that the D.C. Circuit's erroneous standard of review made a difference here and that the D.C. Circuit is committed to that standard. At oral argument, in a colloquy with counsel for the District, the D.C. Circuit underscored the importance of its close appellate scrutiny standard derived from its decision in *McNeal v. Hi-Lo* (see *supra* at 11):

> THE COURT: What is your best ground for supporting Judge Robertson's decision?
>
> THE COURT: Given the fact that there is a very tough standard in this Circuit –
>
> THE COURT: Yes, I'm thinking of High-Low.
>
> THE COURT: – of taking the case from the jury.
>
> THE COURT: Right.
>
> MS. MURASKY: . . . [T]his Court has to find that Judge Robertson abused his discretion, which is also a high standard.
>
> THE COURT: No, now wait, no, no, no.
>
> THE COURT: No.
>
> THE COURT: No. That's not what High-Low says, does it?
>
> MS. MURASKY: I thought it did.
>
> THE COURT: High-Low, which both Judge Edwards and I sat on, Judge Edwards wrote the opinion, sets forth a rather restrictive standard for a District Judge taking away from a jury a verdict and ordering a new trial. You are familiar with the case, aren't you?
>
> MS. MURASKY: Yes, I am.

Transcript of Argument 16 (Nov. 12, 1999).

In fact, *Hi-Lo* does state that "[t]he decision whether to grant a motion for a new trial . . . should be reversed on appeal only if" the district court's "discretion has been abused." 836 F.2d at 646 (internal quotation marks omitted). However, as is obvious, the D.C. Circuit has eviscerated this standard by interpretation.

II. Unless *Gasperini* Is Applied To Resolve It, There Is An Intolerable Conflict Among The Circuits Over The Standard To Be Applied To Appellate Review Of New Trial Orders.

There is an intolerable conflict among the Circuits over the standard of appellate review of new trial orders. This conflict continues despite *Gasperini*, whose significance has eluded several Circuits, including the D.C. Circuit. On one side are the Circuits which understand that the Seventh Amendment affords district courts substantial discretion to order new trials; on the other are the Circuits which hold that the Seventh Amendment strictly constrains the district court's discretion in this respect and requires close appellate scrutiny of new trial orders.

The significance of *Gasperini* in granting broad discretion to district courts to order new trials and in constraining appellate court review of such orders has been recognized by the Seventh Circuit, which previously had followed a standard similar to the D.C. Circuit's current approach. In *Medcom Holding Co. v. Baxter Travenol Laboratories, Inc.*, 106 F.3d 1388 (7th Cir. 1997), the Seventh Circuit applied *Gasperini's* abuse of discretion standard to review a district court's grant of a new trial. In so ruling, the court observed that, prior to *Gasperini*, it had "applied this standard 'somewhat more exacting[ly]' when the district court granted a new trial because of Seventh Amendment considerations." *Id.* at 1397. Given *Gasperini*, however, the court, pursuant to its Circuit Rule 40(e), overruled its prior jurisprudence; abandoned its exacting scrutiny standard for appellate review; and announced that it would review grants of new trials "with somewhat more deference to the district court, utilizing an ordinary abuse of discretion standard . . .." *Id.* at 1397. The Seventh Circuit subsequently explained that "[g]enerally, an abuse of discre-

tion only occurs where no reasonable person could take the view adopted by the trial court." *McClain v. Owens-Corning Fiberglas Corp.*, 139 F.3d 1124, 1126 (7th Cir. 1998) (upholding order granting a new trial on damages) (internal quotation marks omitted).

The conflict among the Circuits over the standard to be applied to appellate review of orders granting new trials runs even deeper. On one side are the Circuits applying a strict scrutiny standard in reviewing new trial orders granted because, in the view of the trial judge, the verdict is against the weight of the evidence. *See, e.g., Lind v. Schenley Industries, Inc.*, 278 F.2d 79, 90 (3rd Cir.) (*en banc*) (appellate courts must carefully scrutinize orders granting new trials to ensure that trial judge does not usurp function of jury), *cert. denied*, 364 U.S. 835 (1960); *Wilburn v. Maritrans GP, Inc.*, 139 F.3d 350, 363 (3rd Cir. 1998) (ruling, without citing *Gasperini*, that "a closer degree of scrutiny" applies to new trial orders); *Brady v. Fort Bend County*, 145 F.3d 691, 713 (5th Cir. 1998) (ruling, without citing *Gasperini*, that standard of appellate review governing denial of motion for new trial is more deferential than standard governing grant of new trial), *cert. denied*, 525 U.S. 1105 (1999); *Holmes v. Massillon, Ohio*, 78 F.3d 1041, 1047 (6th Cir.) (ruling post-*Gasperini*, and citing *Lind* and *Hutchinson v. Stuckey*, that appellate court "must closely scrutinize the trial court's justifications in order to protect the litigant's right to a jury trial"), *cert. denied sub nom., Fabianich v. Holmes*, 519 U.S. 935 (1996); and *Fireman's Fund Insurance Co. v. Aalco Wrecking Co., Inc.*, 466 F.2d 179, 187 (8th Cir. 1972) (following *Lind*), *cert. denied*, 410 U.S. 930 (1973).[12]

[12]The *Fireman's Fund* decision provoked a spirited dissent from an order denying *en banc* reconsideration. 466 F.2d at 188-90 (dissenting (continued...)

On the other side are a number of other Circuits, including, as already noted, the Seventh Circuit. *See, e.g., Consorti v. Armstrong World Industries, Inc.*, 103 F.3d 2, 5 (2d Cir. 1996) (ruling, on remand from this Court for reconsideration in light of *Gasperini*, that trial court decision on new trial motion is subject to review under an abuse of discretion standard); *Gill v. Rollins Protective Services Co.*, 836 F.2d 194, 196 n.1 (4th Cir. 1987) (rejecting "invitation to adopt Third Circuit law" as set forth in *Lind* and, citing 11 Wright & Miller, *Federal Practice and Procedure*, §§ 2805 and 2819 (1973), ruling that "[t]he exercise of this power [to grant a new trial] is not in derogation of the right to trial by jury but is one of the historic safeguards of that right"); *Central Office Telephone, Inc. v. American Tel. & Tel. Co.*, 108 F.3d at 993 (9th Cir.) (describing *Gasperini* as holding "that the re-examination clause of the [Seventh Amendment] . . . does not inhibit the power of the trial judge to grant new trials or to order remittitur); and *Johansen v. Combustion Engineering, Inc.*, 170 F.3d at 1328-29 & 1334-35 (11th Cir.) (citing *Gasperini* and underscoring that appellate courts must defer to trial court orders granting remittitur or new jury trial, given trial judge's unique opportunity to consider the evidence, including the credibility of witnesses).

In short, there is a sharp conflict among the Circuits over an issue which is very fundamental to our civil justice system -- the leeway a trial judge has to grant new trials on the grounds that a jury verdict is contrary to the weight of the

[12](...continued)
from denial of rehearing *en banc* because, contrary to venerable Supreme Court precedent and law of the Circuit, panel did not apply rule that "a 'motion for new trial is addressed to the judicial discretion of the trial judge and will not be reversed except for a *clear abuse* of that discretion'") (*id.* at 188 (emphasis supplied by dissent)).

evidence and the standard of appellate review applicable to a new trial order. This Court should make clear that *Gasperini* resolves this conflict.

CONCLUSION

Tri County was not deprived of its Seventh Amendment right to a jury trial by the district court's order granting a new trial. Instead, it received a jury trial in a proceeding that was fair to both sides, and the jury awarded it $100.

The Court should grant this petition for review and summarily vacate and remand this case to the D.C. Circuit for reconsideration in light of *Gasperini*. In the alternative, it should grant plenary review.

Respectfully submitted,

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APPENDIX

Notice: This opinion is subject to formal revision before publication in the Federal Reporter or U.S.App.D.C. Reports. Users are requested to notify the Clerk of any formal errors in order that corrections may be made before the bound volumes go to press.

United States Court of Appeals

FOR THE DISTRICT OF COLUMBIA CIRCUIT

Argued November 12, 1999 Decided January 18, 2000

No. 99-7028

TRI COUNTY INDUSTRIES, INC.,
APPELLANT

v.

DISTRICT OF COLUMBIA, *ET AL.*,
APPELLEES

Appeal from the United States District Court
for the District of Columbia
(No. 94cv02014)

Frank J. Emig argued the cause for the appellant.

Donna M. Murasky, Assistant Corporation Counsel, Office of the Corporation Counsel, argued the cause for the appellees. *Robert R. Rigsby*, Interim Corporation Counsel, and

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Bills of costs must be filed within 14 days after entry of judgment. The court looks with disfavor upon motions to file bills of costs out of time.

Charles L. Reischel, Deputy Corporation Counsel, Office of the Corporation Counsel, were on brief for the appellees.

Before: EDWARDS, *Chief Judge*, SILBERMAN and HENDERSON, *Circuit Judges*.

Opinion for the court filed by *Circuit Judge* HENDERSON.

KAREN LECRAFT HENDERSON, *Circuit Judge*: This appeal arises from proceedings determining what damages, if any, appellant Tri County Industries, Inc. (Tri County) should be awarded to compensate for what this court previously determined to be the District of Columbia's (District) violation of its fifth amendment right to procedural due process. *See Tri County Indus., Inc. v. District of Columbia*, 104 F.3d 455, 460–62 (D.C. Cir. 1997). Following the first of two trials, the jury awarded $5,000,000. The trial court then granted a new trial, *nisi* remittitur to $1,000,000, which was refused. At the second trial, the district court admitted evidence excluded from the first and the jury returned nominal damages of $100. Tri County challenges the court's order granting the District's alternative motion for a new trial as well as several evidentiary rulings in the second trial and requests reinstatement of the first award or, in the alternative, a new trial due to allegedly erroneous evidentiary rulings during the second trial. For the reasons set forth below, we reverse the district court's order of July 23, 1998 and reinstate the original jury verdict of $5,000,000.

I.

On February 26, 1993 Tri County obtained a building permit from the District authorizing conversion of an empty warehouse into a facility for its business of decontaminating soil tainted with oil and other hazardous materials. While securing the permit, Tri County also obtained an air quality permit as well as a waiver of the required environmental impact statement. Even several months after it obtained the necessary permits, however, it had not begun operating due to equipment delivery delays. On September 7 it received a District citation for storing soil at the facility without the

required certificate of occupancy.[1] Tri County neither removed the soil nor paid the fine; consequently, the District issued a stop-work order on September 22. Tri County did not challenge the citation or order. Its failure to respond led to an order by the District Department of Consumer and Regulatory Affairs (DCRA) dated October 13, 1993 purporting to suspend Tri County's building permit.

The building permit had already been suspended on September 20, however, when, prompted by a groundswell of community opposition to the project, Hampton Cross, acting DCRA director, summarily suspended Tri County's building permit. The DCRA sent Tri County a letter requesting further information on October 15, 1993 to which Tri County did not respond. On December 6 the DCRA sent another letter, this time rescinding the environmental impact statement waiver and threatening imminent revocation proceedings on the building permit. Tri County's only response was to remove the soil that had caused the initial citation. Tri County's counsel advised it that an appeal likely would be influenced by politics given the strong community opposition and that he could not guarantee when such an appeal would be heard. Given the high rental cost of the property in question and the necessity of purchasing, without delay, costly equipment in high demand, Tri County estimated the costs of an appeal at nearly $1,000,000. With no assurance of a prompt hearing and the prospect of a politically influenced review process, Tri County abandoned its project.

Tri County brought suit under 42 U.S.C. § 1983 and succeeded in its challenge to the September 20 suspension of its building permit when this court reversed the district court's dismissal, holding that the suspension violated Tri County's right to procedural due process. *See Tri County Indus.*, 104 F.3d at 460–62. We remanded for consideration of damages.

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[1] A certificate of occupancy is issued when renovation of a structure has been completed in conformity with the earlier application for a building permit and the building is found to be in compliance with applicable zoning regulations and the building code. *See* 12 DCMR § 118, 39 DCR 8711–12.

See id. at 462. The subsequent proceedings in the district court are at issue in this appeal.

The first trial began on April 14, 1998. Tri County presented evidence of its costs already incurred, evidence of lost profits through the testimony of a mechanical engineer and the report of an economist and evidence as to the local market demand for a soil treatment facility through the testimony of a geologist at an environmental consulting firm. The District largely accepted the testimony, often failing to object or seriously cross-examine. Instead, the District relied on its argument that Tri County failed to mitigate its damages when it refused to provide the information the DCRA requested and when it declined to challenge the stop-work and suspension orders. The District also sought to demonstrate that Tri County might not have been allowed to operate its facility because community opposition, arising largely out of concern over the facility's effect on the health and safety of the community, would derail the regulatory procedures. Hindering its argument was the trial court's exclusion or striking of evidence relating to health and safety concerns. *See* Joint Appendix (JA) 186–89. The court found the District's permitting process had resolved the issues as a matter of law. *See id.* at 182–83, 189. In the end, the jury awarded $5,000,000.

The trial court denied the District's post-trial motion for judgment as a matter of law but granted the alternative motion for a new trial, *nisi* remittitur to $1,000,000. Addressing the District's primary argument, the court ruled that the District had to establish both the standard for reasonable mitigation under the circumstances and that Tri County failed to meet it. The District failed to sustain that burden, particularly in light of Tri County's evidence that it would have to spend nearly $1,000,000 to recoup its expenses of $536,421. The court reversed field, however, in reviewing the award for future damages which, assuming the $536,421 in costs were awarded, constituted $4,463,579 of the $11,628,174 figure Tri County presented to the jury. Emphasizing that Tri County did not "invest[ ] a penny to seek reinstatement of the unlawfully suspended building permit," the court ruled that

the District need not have established a reasonableness standard because Tri County's failure to mitigate was unreasonable *per se*. District Court's Memorandum Order filed July 23, 1998 (Memorandum Order), at 2. The court also found the lost profits evidence should not have been considered by the jury without the District having the chance to prove that the facility might not have been allowed to operate. Accordingly, the court found the estimate of lost profits "too speculative and remote" and, in any event, found the award "grossly excessive." *Id.*

Tri County declined the $1,000,000 remittitur and a second trial commenced on January 29, 1999. In this trial, the district court allowed the District to admit the health and safety evidence originally excluded. This time the District challenged Tri County's experts and offered the testimony of three new witnesses, one of whom refuted Tri County's estimate of future profits. Another witness discussed a potential zoning bar to the facility and the third discussed health and safety hazards associated with soil remediation. The second jury awarded Tri County nominal damages of $100.

II.

We review the district court's grant of a new trial for abuse of discretion. *See Langevine v. District of Columbia*, 106 F.3d 1018, 1023 (D.C. Cir. 1997) (citing *Hutchinson v. Stuckey*, 952 F.2d 1418, 1420–21 (D.C. Cir. 1992)). "[A] more searching inquiry is required" if the new trial is granted than if denied, however, because of "the concern that a judge's nullification of the jury's verdict may encroach on the jury's important fact-finding function." *Id.* at 1023 (quoting *Vander Zee v. Karabatsos*, 589 F.2d 723, 729 (D.C. Cir. 1978)).

In its post trial order, the trial court stated three reasons for granting a new trial: (1) Tri County's failure to mitigate; (2) the speculativeness in Tri County's projections of future profits; and (3) the "grossly excessive" jury verdict. Memorandum Order at 2. The court also thought it had erred in its evidentiary rulings excluding evidence related to community

opposition to the project. *See* Memorandum Order at 2 (plaintiff's expert testimony should not have been received "without allowing [the District] to adduce proof that plaintiff's soil remediation facility would never have been permitted to operate"). Tri County challenges each ground.

First, the court found Tri County's failure to expend any resources to seek reinstatement of its building permit *per se* unreasonable in light of the $11,628,174 it claimed in lost profits. *See id.* Tri County contends that the determination of whether a party satisfied its duty to mitigate, a question that turns on what action was reasonable under the circumstances, *see, e.g.*, *Berger v. Iron Workers Reinforced Rodmen, Local 201*, 170 F.3d 1111 (D.C. Cir. 1999); *Lennon v. United States Theatre Corp.*, 920 F.2d 996 (D.C. Cir. 1990), is a jury question. Here, we agree with Tri County that its alleged failure to mitigate was an issue properly submitted to the jury. *See Hilord Chem. Corp. v. Ricoh Elecs., Inc.*, 875 F.2d 32, 38–39 (2d Cir. 1989); *Waldorf v. Shuta*, 142 F.3d 601, 623–24 (3d Cir. 1998). Moreover, failure to mitigate is an affirmative defense and the party asserting it bears the burden of demonstrating the opposing party's failure to act reasonably under the circumstances. *See Lennon*, 920 F.2d at 1000; *see also Mark Keshishian & Sons, Inc. v. Washington Square, Inc.*, 414 A.2d 834, 842 n.19 (D.C. 1980) (burden of showing mitigation is on party raising issue) (citing *Camalier & Buckley–Madison, Inc. v. Madison Hotel, Inc.*, 513 F.2d 407, 419–20 n.92 (D.C. Cir. 1975)).

Tri County created a jury issue when it offered an explanation for its failure to challenge the DCRA's suspension order or otherwise pursue administrative remedies. Its explanation included evidence that it believed suggested the reviewing body, the District's Board of Appeals and Review, might not have acted impartially due to political influence and that an appeal would have been indefinitely slow and expensive.[2]

[2] Tri County's lawyer (in 1993) testified that Cross told him that the Board of Appeals and Review would act at the direction of the District's Mayor and the Mayor's chief of staff. Tri County introduced Cross's deposition testimony indicating he had met with the Mayor and members of the community opposition following the suspension of the permit. Tri County's lawyer also testified that it would have taken eight to twelve months to resolve the matter administratively. JA 76–77.

Moreover, a jury justifiably could have found it reasonable for Tri County not to contest the September 22 stop-work order and subsequent suspension resulting from the failure to pay the fine given the pre-existing September 20 suspension. The District argues simply that the evidence it presented regarding Tri County's failure to mitigate "was firmer by far." Brief of Appellee at 30. Tri County responds that it is improper to now assess the relative strength of the parties' showings. Indeed, the trial court properly gave the failure to mitigate issue to the jury and properly instructed the jury on that issue:

> [T]he law requires that an injured party take all the reasonable steps it can to avoid further injury and reduce its loss. Tri County may not recover damages for any portion of its injury which it could have avoided through the exercise of reasonable care and prudence.... The District asserts that Tri County by failing to pay the $500 fine ... and by failing to appeal the stop work order, is not entitled to any damages.

JA 193. Thus, to the extent the district court based its new trial decision on the mitigation issue, it abused its discretion in declaring *ex post* that Tri County's failure to pursue administrative remedies to reinstate its permit was *per se* unreasonable, thereby withdrawing the mitigation issue from the jury. *See generally Tatum v. Morton*, 562 F.2d 1279, 1283 (D.C. Cir. 1977) ("[T]he district court's *per se* approach of imposing an absolute duty to mitigate was not sound.").

The trial court also found that Tri County's evidence of lost profits was "too speculative and remote" and that the award of less than half of the amount Tri County estimated was "grossly excessive." Memorandum Order at 2. Where, as here, the fact of injury has been established and the defendant's action (suspension of the building permit) affected the plaintiff's ability to present actual revenue and cost figures to

support a lost profits projection, the applicable standard for proving lost profits damages is the one this court enunciated in *Samaritan Inns, Inc. v. District of Columbia*, 114 F.3d 1227 (D.C. Cir. 1997):

> Where the tort itself is of such a nature as to preclude the ascertainment of the amount of damages with certainty, it would be a perversion of fundamental principles of justice to deny all relief to the injured person.... In such case, while the damages may not be determined by mere speculation or guess, it will be enough if the evidence show the extent of the damages as a matter of just and reasonable inference, although the result be only approximate. Thus, while a plaintiff seeking to recover lost profits must ordinarily prove the fact of injury with reasonable certainty, proof of the amount of damages may be based on a reasonable estimate. Although a court will not permit a plaintiff to recover damages based on "mere speculation or guess," the fact that an estimate is uncertain or inexact will not defeat recovery....

114 F.3d at 1234–35 (quoting *Story Parchment Co. v. Paterson Parchment Paper Co.*, 282 U.S. 555, 563 (1931)) (citations omitted).

Tri County produced evidence indicating it sustained lost profits of $11,628,174. The evidence included the testimony of eight witnesses[3] and ranged from projections of tons of contaminated soil the facility would treat per hour and the number of hours it would operate per day to estimates of equipment and labor costs. With expert testimony regarding the accessible market for soil remediation and a comparison of service rates for similar operations, an economist projected the profitability of Tri County's facility. Their respective opinions were left largely unchallenged by the District. Regardless whether the estimates were on the high end, that is,

[3] The witnesses included its President, Glenn Selzer, its Vice President and its CPA. In addition, a chemical engineer, a remediation expert, a financial economist, a mechanical engineer and an expert in soil remediation testified as to Tri County's costs and lost profits.

"uncertain or inexact," *Samaritan Inns*, 114 F.3d at 1235, they were sufficiently well-founded to avoid characterization as "mere speculation or guess." *Id.*

Moreover, we question the trial court's finding that the award "shock[ed] the judicial conscience." Memorandum Order at 2. Tri County presented evidence that its costs amounted to $536,421 and its lost profits amounted to $11,628,174. The jury awarded $5,000,000, less than half of the total amount claimed and, for that matter, less than half of the future profits estimate standing alone. The award was within the "reasonable range within which the jury may properly operate." *Langevine*, 106 F.3d at 1024.

As demonstrated above, the trial court tried to cover all bases in its order granting a new trial but the order reveals that the court's real concern was its exclusion of evidence regarding health and safety issues which may have led to community resistance and, perhaps, regulatory barriers to Tri County's project. For example, while declaring the award grossly excessive, the district court expressed its dissatisfaction with its original evidentiary rulings:

> [T]he jury's award ... shocks the judicial conscience, particularly in view of the realistic prospect, which I did not permit defendants to prove at trial, that there would be continued community resistance to increased dump truck traffic ... and a very real likelihood that the District of Columbia would have closed down the remediation facility ... or that it never would have been permitted to commence operations at all.

Memorandum Order at 2–3; *see also id.* at 2 (plaintiff's expert testimony should not have been received "without allowing [the District] to adduce proof that plaintiff's soil remediation facility would never have been permitted to operate").

In the excerpt above, the district court alluded to the District's argument under *Carey v. Piphus*, 435 U.S. 247, 266–67 (1978), that a plaintiff who suffers a procedural due process violation is entitled only to nominal damages if he

would have suffered the same "injury" absent the violation. Thus, the District argues that here the procedural violation caused no compensable injury because the action taken, suspension of the permit, was justified even if improperly executed. The District claimed that Tri County's damages were minimal because the facility either would not have become operational or would not have been operational for long due to community resistance.

The trial court excluded the District's health and safety evidence under Rule 403 and determined that the permitting process disposed of these issues as a matter of law. *See* JA 178, 189. The District argues that the evidentiary rulings practically negated its argument under *Carey* that the project would have been halted anyway. Despite its reliance on this argument, the District never met the trial court's repeated injunction to show how the health and safety issue would have triggered additional regulatory procedures or otherwise allowed the District to rescind its earlier approval. *See* JA 172; *see also id.* at 168–69, 172–75, 186–87. In short, the District failed to show that community concern would be brought to bear on Tri County's operation, specifically through the regulatory process. Accordingly, the district court did not abuse its discretion in excluding the evidence. In light of our findings that Tri County's evidence was properly before the jury and the District's evidence was properly excluded, we conclude that the district court, in granting a new trial based on a revised view of its original rulings, did abuse its discretion.[4] *See Langevine*, 106 F.3d at 1023 (a "more searching inquiry" is particularly necessary "when the motion [for new trial] is granted on the ground that the verdict is against the weight of the evidence").

For the foregoing reasons, we reverse the district court's order of July 23, 1998, reinstate the original jury verdict of $5,000,000 and vacate the verdict and judgment resulting from the second trial.

So ordered.

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[4] In light of our holding, we need not reach Tri County's alternative grounds for reversal based on the second trial.

UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF COLUMBIA

Tri-County Industries, Inc.,
Plaintiff(s),

v. Civil Action No. 94-2014 (JR)

District of Columbia, et al.
Defendant(s).

FILED
APR 20 1998
NANCY MAYER-WHITTINGTON, CLERK
U.S. DISTRICT COURT

JUDGMENT ON THE VERDICT
FOR PLAINTIFF

This cause having been tried by the Court and a Jury, before the Honorable James Robertson, Judge presiding, and the issues having been duly tried and the Jury having duly rendered its verdict; now, therefore, pursuant to the verdict,

IT IS ORDERED, ADJUDGED AND DECREED that the plaintiff(s) Tri-County Industries, Inc. have and recover of and from the defendant(s) District of Columbia, et al. the sum of Five Million Dollars ($5,000,000.00), together with costs.

NANCY MAYER-WHITTINGTON, Clerk

Dated: /s/ April 20, 1998 **By: /s/ Jackie Francis**
Deputy Clerk

UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF COLUMBIA

TRI-COUNTY INDUSTRIES, INC.
Plaintiff,

v. Civil Action No. 94-2014 (JR)

DISTRICT OF COLUMBIA, *et al.*
Defendants.

FILED
JUL 23 1998
CLERK, U.S. DISTRICT COURT
DISTRICT OF COLUMBIA

MEMORANDUM ORDER

Before the Court is defendants' motion for judgment notwithstanding the verdict or in the alternative for a new trial [#115].

The motion for JNOV (now, of course, properly styled judgment as a matter of law, Fed. R. Civ. P. 50), will be denied. The most important grounds for defendants' motion, set forth as well in several pretrial motions, is that plaintiff failed to mitigate its damages. The mitigation question turns upon what would have been reasonable for Tri-County to do by way of mitigation. Plaintiff adduced proof that it would have had to make capital expenditures, continue in possession of a lease, and incur substantial legal expenses over a long period of time to have a chance of going forward with its business. The jury might reasonably have found that it would have been unreasonable to spend nearly a million dollars to recoup the $536,421 in expenses Tri-County had already incurred. In any case, the party raising mitigation as an affirmative defense must prove that there is a standard for reasonableness and that plaintiff did not meet it. Norris v.

Green, 656 A.2d 282 (D.C. 1995). The District of Columbia did not sustain that burden at trial.

The jury's award of future profits is another matter. Plaintiff's position is that it was entitled to recover $11,628,174 of future profits (the jury apparently awarded $4,463,579) without investing a penny to seek reinstatement of the unlawfully suspended building permit. No proof of a standard of reasonable mitigation efforts is required to evaluate that proposition: it is unreasonable *per se*.

The jury's award of future profits, moreover, was based on expert testimony that should not have been received -- or, at least, should not have been received without allowing the District of Columbia to adduce proof that plaintiff's soil remediation facility would never have been permitted to operate. Plaintiff's proof of future profits consisted of what amounted to a pro-forma statement of income and expense. Plaintiff had no experience in the business of "burning" soil for remediation. Plaintiff's expert testimony acknowledged the recent failure of a similar remediation facility in Virginia, but the impact of that failure upon plaintiff's hoped-for future profits was not analyzed, nor was the implication of the diminishing market price per ton for cleaning petroleum-contaminated soil. Upon reflection, I am convinced that the evidence of lost future profits was too speculative and remote and that it failed to meet the required standard of reasonable certainty.

In addition, the jury's award of some $4.5 million in assertedly lost profits was in any event grossly excessive and shocks the judicial conscience, particularly in view of the realistic prospect, which I did not permit defendants to prove at trial, that there would be continued community resistance to increased dump truck traffic along Bryant Street, where the

remediation facility was located, and a very real likelihood that the District of Columbia would have closed down the remediation facility sooner or later in any event, or that it never would have been permitted to commence operations at all.

Accordingly, it is necessary to grant the motion for a new trial. At the new trial, if plaintiff is again permitted to adduce proof of lost future profits, defendants will be permitted to rebut that proof with evidence of the likely course of future community resistance and regulatory activities with respect to the remediation facility.

Because a new trial on damages may be unduly burdensome upon the parties, however, the order for a new trial will be nisi remittitur. See Faison v. Nationwide Mortgage Corp., 839 F.2d 680, 693-94 (D.C. Cir. 1987); Hutchinson v. Stuckey, 952 F.2d 1418, 1423 n.5 (D.C. Cir. 1992); Langevine v. District of Columbia, 106 F.3d 1018, 1026 n.3 (D.C. Cir. 1997) (Henderson, J., concurring in part and dissenting in part).

The motion for a new trial will be granted unless, within thirty days after entry of this order, plaintiff accepts a remittitur of the jury's verdict to $1 million.

Dated: /s/ July 23, 1998

/s/ James Robertson
JAMES ROBERTSON
United States District Judge

UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF COLUMBIA

TRI-COUNTY INDUSTRIES, INC.
Plaintiff(s)

v.

Civil Action No. 94-2014

DISTRICT OF COLUMBIA, ET AL.
Defendant(s).

FILED
FEB - 4 1999
NANCY-MAYER WHITTINGTON, CLERK
U.S. DISTRICT COURT

JUDGMENT ON THE VERDICT
FOR PLAINTIFF

This cause having been tried by the Court and a Jury, before the Honorable James Robertson, Judge presiding, and the issues having been duly tried and the Jury having duly rendered its verdict; now, therefore, pursuant to the verdict,

IT IS ORDERED, ADJUDGED AND DECREED that the plaintiff(s) Tri-County Industries, Inc. have and recover of and from the defendant(s) District of Columbia, the Mayor of the District of Columbia, the Department of Consumer and Regulatory Affairs, the Director of the Department of Consumer and Regulatory Affairs and the Administrator of Environmental Regulation Administration the sum of One Hundred Dollars ($100.00) as nominal damages, together with costs.

NANCY MAYER-WHITTINGTON, Clerk

Dated: /s/ Feb. 4, 1999 **By: /s/ Joseph G. Burgess**
Deputy Clerk

UNITED STATES COURT OF APPEALS
FOR THE DISTRICT OF COLUMBIA CIRCUIT

No. 99-7028 **September Term, 1999**
94cv02014

Tri-County Industries, Inc.,
a Maryland Corporation,
Appellant

V.

District of Columbia,
a municipal corporation, et al.,
Appellees

UNITED STATES COURT OF APPEALS
FOR DISTRICT OF COLUMBIA CIRCUIT

FILED MAR 8 2000

CLERK

BEFORE: Edwards, Chief Judge, Silberman and Henderson, Circuit Judges

ORDER

Upon consideration of appellees' petition for rehearing filed February 17, 2000, it is

ORDERED that the petition be denied.

Per Curiam

FOR THE COURT:
Mark J. Langer, Clerk

BY: /s/ Robert A. Bonner
Robert A. Bonner
Deputy Clerk

UNITED STATES COURT OF APPEALS
FOR THE DISTRICT OF COLUMBIA CIRCUIT

No. 99-7028 **September Term, 1999**
94cv02014

Tri-County Industries, Inc.,
a Maryland Corporation,
Appellant

V.

District of Columbia,
a municipal corporation, et al.,
Appellees

UNITED STATES COURT OF APPEALS
FOR DISTRICT OF COLUMBIA CIRCUIT

FILED MAR 8 2000

CLERK

BEFORE: Edwards, Chief Judge; Silberman, Williams, Ginsburg, Sentelle, Henderson, Randolph, Rogers, Tatel and Garland, Circuit Judges

ORDER

Upon consideration of appellees' petition for rehearing en banc, and the absence of a request by any member of the court for a vote, it is

ORDERED that the petition be denied.

Per Curiam

FOR THE COURT:
Mark J. Langer, Clerk

BY: /s/ Robert A. Bonner
Robert A. Bonner
Deputy Clerk

Circuit Judge Tatel did not participate in this matter.